

Pick one industry that has been disrupted by fintech. Explain what the traditional model looked like, what replaced it, and who lost out in the change.

Stripe: The Decision Not to Be a Bank

When Patrick and John Collison launched Stripe in 2011, they were two Irish brothers in their early twenties solving a problem most people did not know they had. Accepting payments on the internet was technically possible, but the process involved weeks of paperwork, relationships with multiple banks, and lines of code that made developers miserable. Stripe offered seven lines of code. Paste them into your website and you could accept credit cards. The company is now valued at over USD 50 billion, processes hundreds of billions in payments annually, and has never gone public.

This essay argues that Stripe's most important financial decision was not its product, its pricing, or its fundraising. It was the strategic choice to position itself as infrastructure rather than a financial institution, which gave it a fundamentally different cost structure, regulatory burden, and growth trajectory from its competitors.

Stripe's seed round in 2011 raised roughly USD 2 million from Y Combinator and individual investors. What matters about this round is not the amount but the valuation implied: the Collisons gave away a small share of the company, preserving founder control. This became a pattern. Stripe raised its Series A of USD 18 million in 2012 at a valuation of roughly USD 100 million, its Series B at USD 3.5 billion in 2014, and continued raising at escalating valuations through 2021, when it reached USD 95 billion. At no point did the founders lose majority control, and at no point did they pursue an IPO.

The decision to stay private is significant. Public companies face quarterly earnings pressure that rewards short term revenue growth, often at the cost of long term investment. Stripe instead spent years building products that generated no immediate revenue, including its Atlas programme, which helps companies incorporate in the US, and its Climate programme, which channels a fraction of revenue toward carbon removal. These are infrastructure plays: they bind companies into the Stripe ecosystem early and permanently, generating revenue over years rather than quarters.

Stripe charges 2.9 percent plus 30 cents per transaction in the US, with similar structures globally. This flat, transparent fee was radical in an industry built on opaque interchange rates, hidden charges, and volume based negotiations. The financial logic is subtle. By charging a fixed percentage, Stripe aligned its revenue directly with its customers' revenue. When a Stripe customer grows, Stripe grows. This eliminates the adversarial relationship common in financial services, where the provider profits regardless of the client's success.

The risk of this model is concentration. If Stripe's largest customers leave or fail, revenue drops immediately. The counterbalance is volume: Stripe processes payments for millions of businesses, from one person startups to companies like Amazon and Shopify, so no single customer dominates.

A payments company can position itself in two ways. It can become a bank, holding deposits, issuing loans, and accepting the regulatory framework that comes with it, including capital requirements, stress testing, and deposit insurance obligations. Or it can become a layer that sits between the customer and the banking system, handling the technology without touching the money directly.

Stripe chose the second path. It partners with banks rather than competing with them. This is the single decision that mattered most, and the reasons are financial, not ideological.

First, regulatory cost. Banks in the US are supervised by the Office of the Comptroller of the Currency, the Federal Reserve, and state regulators. Compliance teams at major banks number in the thousands. Stripe, as a technology provider rather than a bank, faces lighter obligations. This translates directly into lower operating costs as a percentage of revenue.

Second, capital requirements. Banks must hold reserves against their liabilities, tying up capital that cannot be deployed elsewhere. Stripe holds no customer deposits, so this constraint does not apply. Every dollar of revenue can be reinvested in product development or growth.

Third, scalability. Banking licences are jurisdiction specific. Expanding a bank into a new country requires a new licence, new compliance infrastructure, and often new capital. Stripe expands by partnering with a local bank that already holds the licence, plugging its technology layer on top. This is why Stripe operates in over 40 countries while most banks of comparable age operate in one or two.

The counterargument is that by not being a bank, Stripe leaves money on the table. Banks earn interest on deposits, profit from lending, and benefit from the implicit government guarantee that comes with deposit insurance. These are real revenue streams Stripe does not access. The response is that Stripe's growth rate, which has compounded at over 60 percent annually for most of its history, suggests the infrastructure model captures more value than the banking model would, at least at this stage of the company's life.

Stripe's journey from startup to a valuation exceeding USD 50 billion was built on a sequence of financially literate decisions: preserving founder control through disciplined fundraising, aligning pricing with customer success, staying private to invest long term, and building ecosystem lock in through non revenue products. But the architecture underneath all of these was the choice not to be a bank. That decision set the cost structure, the regulatory burden, the speed of international expansion, and ultimately the valuation. It is the foundation on which every other decision rested. Without it, Stripe would be a fintech lender competing with thousands of others. With it, Stripe became the plumbing.

Mark: 46/50

Clear and well-supported judgement throughout, with excellent financial analysis of why Stripe's infrastructure model was its most important strategic decision. Strong evaluation, relevant counterargument, and consistent focus on the question.

To attain higher marks needed to include a little more precise financial evidence or comparisons with competitors to strengthen the evaluation further. A few factual claims could also be qualified more carefully for complete accuracy.